RAYCHEM AND THE EFFICIENT MARKET

Now what has Raychem's situation to do with this theory of an “effi-cient market” that has recently gained such a following in certain financial quarters? According to that theory, stocks automatically and instantly adjust to whatever is known about a company, so that only those who might possess illicit “inside information” that is not known to others could benefit from what might lie ahead for a particular stock. In this instance, at the drop of a hat, the Raychem management would and did explain to anyone interested all the facts I have just cited and explained how temporary they believed was the period of poor earnings.

Actually, well after all this had happened and when profits were climbing to a new all-time high level, the Raychem management went even further. On January 26, 1978, they held a long one-day meeting at their headquarters which I had the privilege of attending. Raychem management invited to this meeting the representatives of all institutions, brokerage houses, and investment advisors who either had any interest in Raychem or they thought might have. At this meeting the ten most senior executives of Raychem explained with what I believe was extreme frankness and in detail, such as I have only occasionally seen at similar meetings of other companies, the prospects, the problems, and the current status of Raychem matters under their jurisdiction.

In the year or two following this meeting, Raychem's earnings growth developed exactly as might have been inferred from what was said there. During that period, the stock was to much more than double from the price of $23¼ at which it was selling that day. Yet in the weeks immediately following this meeting, there was no particular effect on the stock whatsoever. Some of those present were obviously impressed by the picture being presented. Too many, however, were still under the influence of the double shock that they had experienced a year or two before. They obviously mistrusted what was being told them then. So much for the theory of an efficient market.

What kind of conclusion does the investor or the investment professional reach from experiences like Raychem? By and large, those who have